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In final accounts, it is presented as follows:

Dr. Trading Account for the year ended 31st December, 2017 Cr.

Particulars	`	`	Particulars	`	`
To Rent	20,000				
Add: Outstanding	4,000	24,000			

Balance Sheet as on 31st December, 2017

Liabilities	`	`	Assets	`	`
Rent outstanding		4,000			

(iii) Prepaid Expenses

Prepaid expenses refer to any expense or portion of expense paid in the current accounting year but the benefit or services of which will be received in the next accounting period. They are also called as unexpired expenses. Though these expenses are paid in the accounting period, they are not incurred during the accounting period. Prepaid expense account is a representative personal account. Expense account is a nominal account.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Prepaid expense A/c	Dr.		xxx	
To Concerned expense A/c				xxx
(Expense paid in advance adjusted)				

Presentation in final accounts

In Trading A/c or Profit and loss A/c	Amount prepaid is deducted from particular expense in the trading account or profit and loss account depending upon whether it is direct or indirect respectively.
In Balance Sheet	Amount of prepaid expense is shown on the assets side under current assets.



Deferred revenue expenses Vs. Prepaid expenses

Deferred revenue expenditure is that expenditure which yields benefits which extend beyond the current accounting period, but relatively a short period as compared to a capital expenditure. Prepaid expenses refer to amount paid in the current accounting period benefit of which will be received in the next accounting period.